

MANGU 2025 KCSE PREDICTION



CONFIDENTIAL EXAM

565/2

BUSINESS STUDIES

PAPER 2

TIME: 2½ HOURS



NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

(Kenya Certificate of Secondary Education)

INSTRUCTIONS TO CANDIDATES

- a) Write your name and index number in the spaces provided above.*
- b) Sign and write the date of the examination in the spaces provided above.*
- c) This paper consists of 6 questions.*
- d) Answer any **five** questions in the spaces provided.*
- e) All questions carry equal marks*
- f) Non –programmable silent electronic calculator may be used.*
- g) Candidates must answer the questions in English.*

FOR EXAMINER'S USE ONLY

Question	Maximum score	Candidate's score
	20	
	20	
	20	
	20	
	20	
TOTAL		

1. (a) Highlight **five** ways in which micro environment can lead to success of a business.

(10 marks)

(b) Explain **five** advantages of locating firms to different parts of the country. **(10 marks)**

2. (a) Outline **five** circumstance a firm may find it necessary to advertise its products. **(10 mks)**

(b) Explain **five** areas in which government expenditure can be channelled to stabilize the economy of a country.

(10 marks)

3. (a) Explain **five** ways in which consumers may benefit from warehousing. **(10 marks)**

(b) Highlight **five** reasons why some African countries are reluctant in implementing free trade agreement.

(10 marks)

4. (a) Explain **five** benefits that a firm may enjoy by preparing a business plan. **(10 marks)**

(b) The following balances were extracted from the books of Tango Traders on 31st December 2020.

Item	Shs.
Building	208, 000
Bank overdraft	125, 000
Debtors	43, 000
Creditors	118, 000
Motor vehicle	660, 000
Closing stock	80,000
Lighting	10, 000
Discount allowed	10, 800
Rent income	40, 800
Repairs on buildings	4, 600
Interest on loans	8, 900
Capital	711, 500

Additional information

Gross profit margin is stated at 20%.

Cost of goods sold Sh. 120, 000.

Prepare:

- i) Profit & loss account for the year ended 31st December 2020. **(5 marks)**
 - ii) Balance sheet as at 31st December 2020. **(5 marks)**
- 5.** (a) Explain **five** features of oligopoly market structure. **(10 marks)**
(b) Explain **five** problems faced by public corporations in Kenya. **(10 marks)**
- 6.** (a) Explain **five** types of small scale retail shops with a fixed premise. **(10 marks)**
(b) Use the following transactions to prepare Tikoi Traders Two Column Cash Book for the month of June 2022.
(10 marks)
- 1st June: Had Sh. 10, 500 in cash and Sh. 6, 500 at the bank.
2nd June: Received a cheque of Sh. 50, 000 from Tosh.
4th June: Paid wages Sh. 2, 500 cash.
6th June: Sold goods worth Sh. 9, 250 cash.
7th June: Withdrew Sh. 5, 500 from the bank for family use.
9th June: Purchased goods worth Sh. 15, 800 by cheque.
12th June: Paid Gael, a creditor by Cheque Sh. 5, 000.
15th June: Brought into the business additional cash of Sh. 15, 000 from private sources.
20th June: Deposited Sh. 8, 500 from the office into the business bank account.
28th June: Used all the cash in hand to purchase equipments leaving no balance.

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